# ICT MENTORSHIP CORE CONTENT

## ICT MENTORSHIP CORE CONTENT - MONTH 05 - POSITION TRADE MANAGEMENT

# INTRODUCTION TO POSITION TRADE MANAGEMENT FOR BULLISH CONDITIONS

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This lesson focuses on position trade management. For bullish market conditions, the process begins by anticipating potential bullish seasonal tendencies.

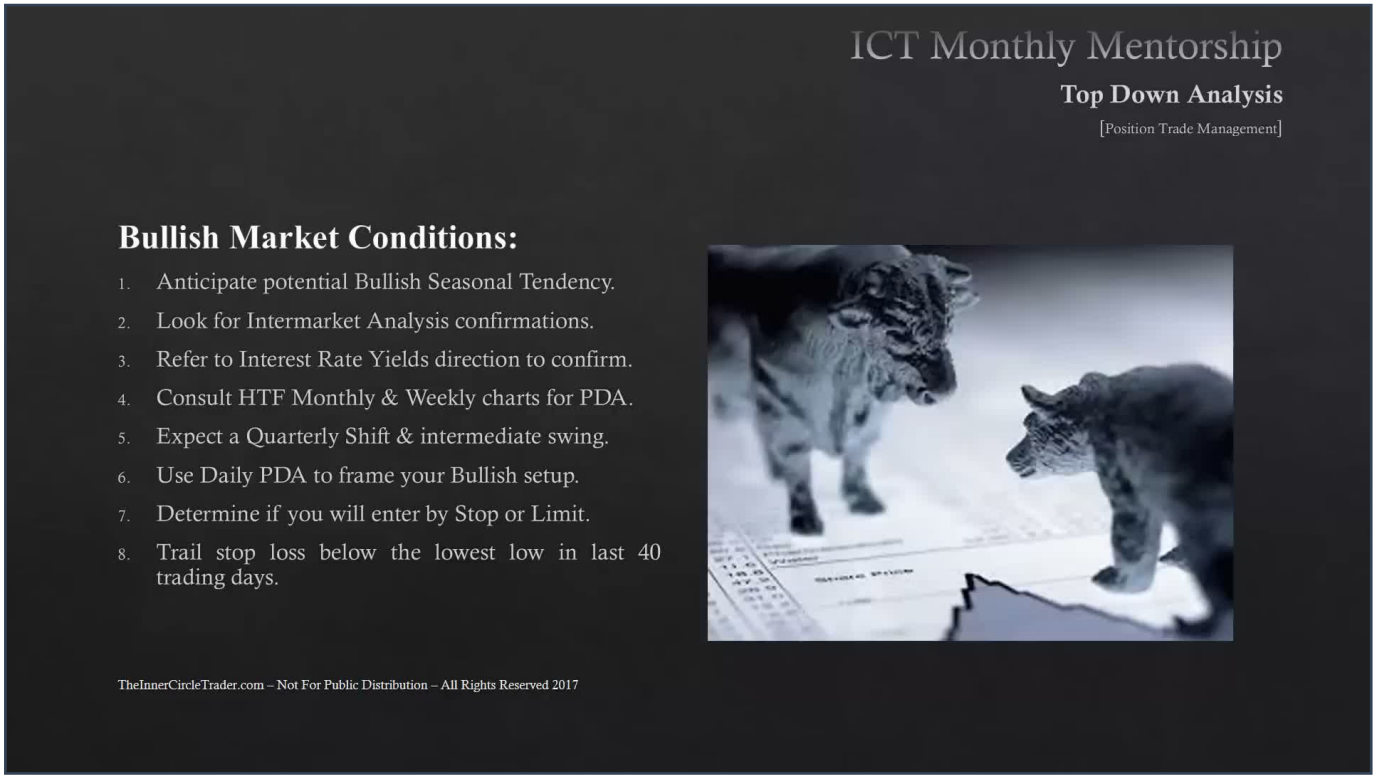
Key Considerations for Seasonal Tendencies:

- Seasonal tendencies are not a definitive prediction or a panacea, but rather a rule of thumb or roadmap for what may unfold in price action.

- Just because something has happened for the last 40 plus years doesn't mean it will be the outcome this year or next year.

- We start with seasonal tendencies because there's a tendency for price to do certain things.

- We focus on bullish seasonal tendencies most likely to occur in the next three to four months, recalling the ideal ones previously discussed.




After identifying a potential bullish seasonal tendency, the next step is to look for inter-market analysis confirmations.

Confirmations involve assessing whether a bullish technical picture aligns with the seasonal tendency.

Factors to consider:

- Interest Rate Markets: Are yields increasing? Increasing yields are generally good for the currency being traded.

- Divergence in Yields: Divergence may suggest a shift or pause in the underlying market direction.

- Four Major Asset Classes: The stock market, interest rates, commodities, and currencies should ideally confirm your general outlook.

- If three out of four asset classes confirm your directional bias, you likely have a strong trade idea.

# HIGHER TIME FRAME PREMIUM DISCOUNT ARRAYS (PDA) FOR BULLISH OBJECTIVES

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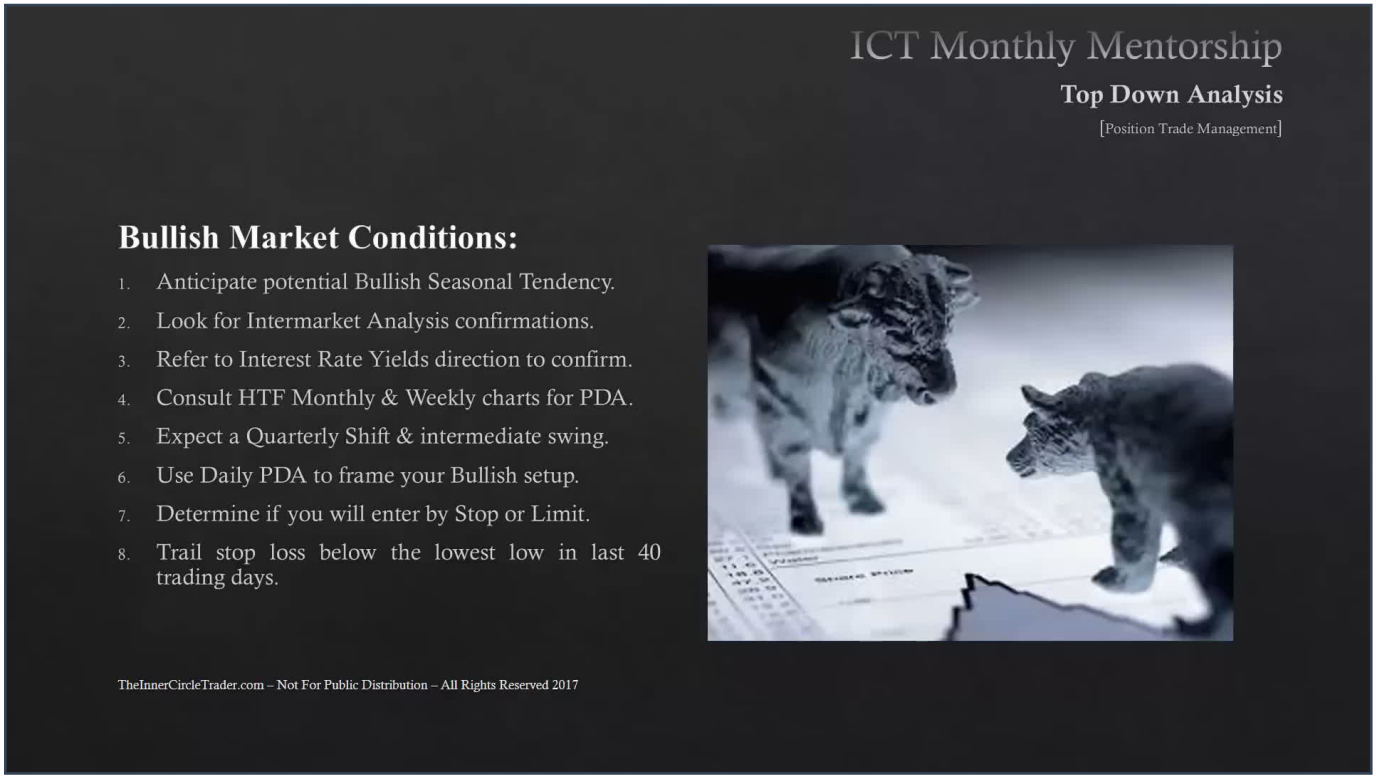



Once inter-market analysis provides confirmation, focus shifts to higher time frames for Premium Discount Arrays (PDA).

Key actions:

- Utilize monthly and weekly charts to identify where institutional overflow will likely seek to trade to.

- PDA (Premium Discount Array) refers to order blocks, voids, gaps, rejection blocks, old highs/lows, and other institutional reference points.

- Understanding monthly and weekly objectives informs what the daily chart is likely to do, focusing on a quarterly shift or intermediate price swing.

- We look for these new price swings to occur every three or four months, confirmed by inter-market analysis interest rate yields.

- The goal is not to pick the absolute low or high, but to get in sync with the quarterly shift to capture the 'meat'—the biggest portion of the move.

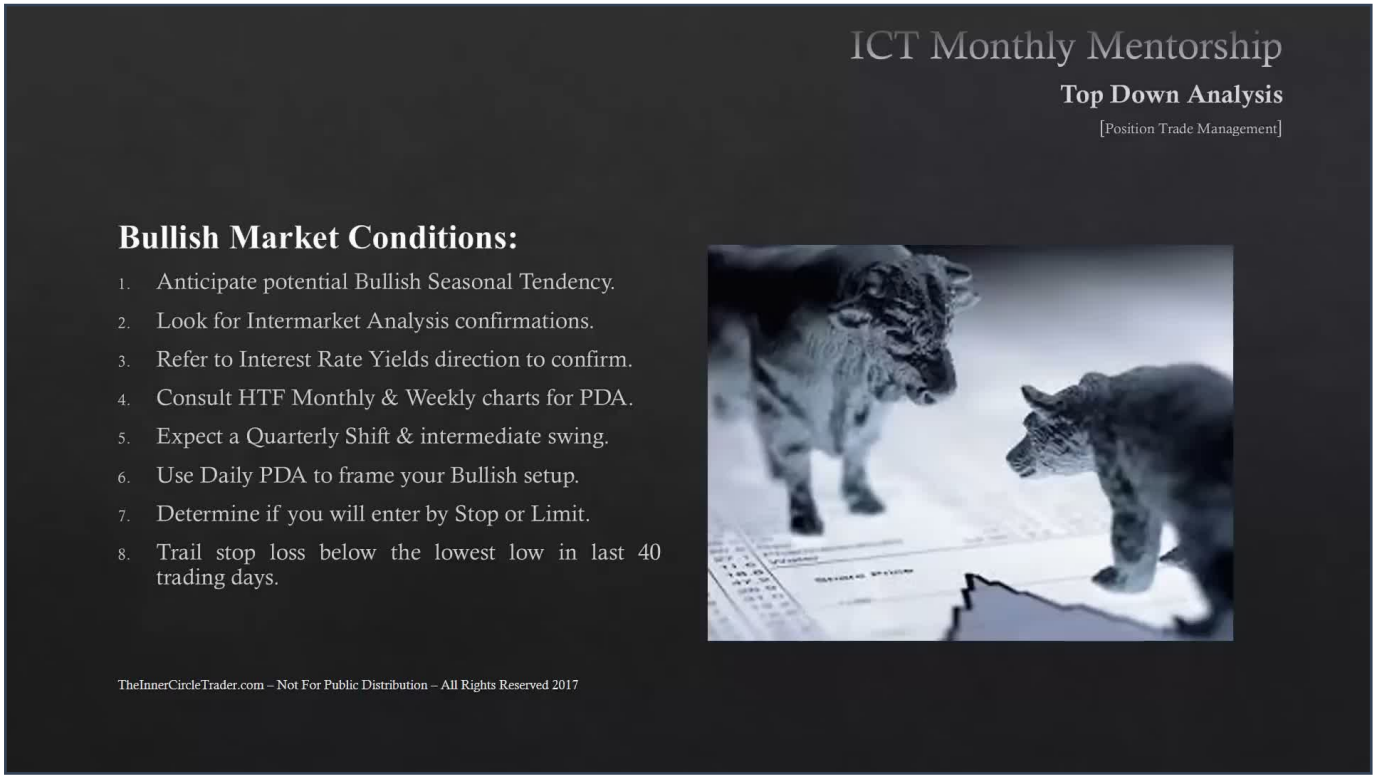
The daily PDA is used to frame bullish setups.

Key elements for framing a buy setup:

- We look for order blocks, voids, gaps, rejection blocks, old highs, and old lows.

- These elements frame our buy setup based on observations from higher time frames, inter-market analysis, and a supporting seasonal tendency.

- When these elements align, we have a great deal of confluences in our favor, indicating a high probability scenario.




After framing the setup, the next step is to determine the order entry method and manage risk.

Order Entry:

- Buyer on a Stop: Generally ensures a fill more times, but may create a wider gap between entry and stop loss.

- Buyer on a Limit: Demands a specific price level, increasing the probability of missing moves or fills.

- The choice depends on personal preference; it doesn't matter which one you elect to go with.

Risk Management:

- Risk no more than one percent of your account.

- The strategy aims for 'big positions' in terms of time duration, but 'not big positions' in terms of capital allocation.

- This reduces risk while maximizing potential pip payout, which remains relative to the percentage risked due to the nature of this time frame.

# INITIAL TRAILING STOP LOSS FOR BULLISH TRADES

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Once a bullish position is entered, the stop loss is initially trailed.

Trailing Stop Loss Rule:

- Trail your stop loss below the lowest low in the last 40 trading days.

Rationale (referencing 'ifta data range'):

- For an anticipated bullish move, the market will most likely not want to go back 40 trading days to find the low.

- It will instead be looking for highs in the last 40 trading days.

- This provides a 'handsomely' wide trailing stop loss, positioned significantly behind the current market price.

- A wide stop loss requires a very significant price move to stop you out, avoiding premature exits from long-term trends or quarterly shifts.

- You must allow the market some freedom; ultra-tight stops are not suitable for long-term trading, as price needs room to gyrate and pull back.

# ADJUSTING TRAILING STOP LOSS FOR BULLISH TRADES BASED ON RANGE PROGRESSION

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As the bullish trend progresses, the trailing stop loss is adjusted based on the expected range move.

Adjustment Rules:

- Before 50% of Expected Range: If the price moves 50% of the expected monthly/weekly range (e.g., 500 pips of a 1000-pip range) in your favor, continue to keep the stop loss below the lowest low in the last 40 trading days.

- After 50% of Expected Range: Once the price moves above 50% of the expected profitability, look for the lowest low in the last 20 trading days to trail the stop loss.

- Around 75% of Expected Range: When the move reaches approximately three-quarters of the entire weekly/monthly range, trail the stop loss below the most recent low in the last 20 trading days.

Purpose:

- This strategy permits price to seek upside liquidity while giving it room to consolidate if needed.

- Maintaining a wider stop initially (40-day low) gives a better chance of staying in the move and not being stopped out prematurely.

- Tightening the stop (20-day low) in the later stages of the move helps lock in as much profit as possible,

especially as you get closer to the ultimate objective, preventing deep retracements that could turn into reversals.

# POSITION TRADE MANAGEMENT FOR BEARISH CONDITIONS: SEASONAL & INTER-MARKET ANALYSIS

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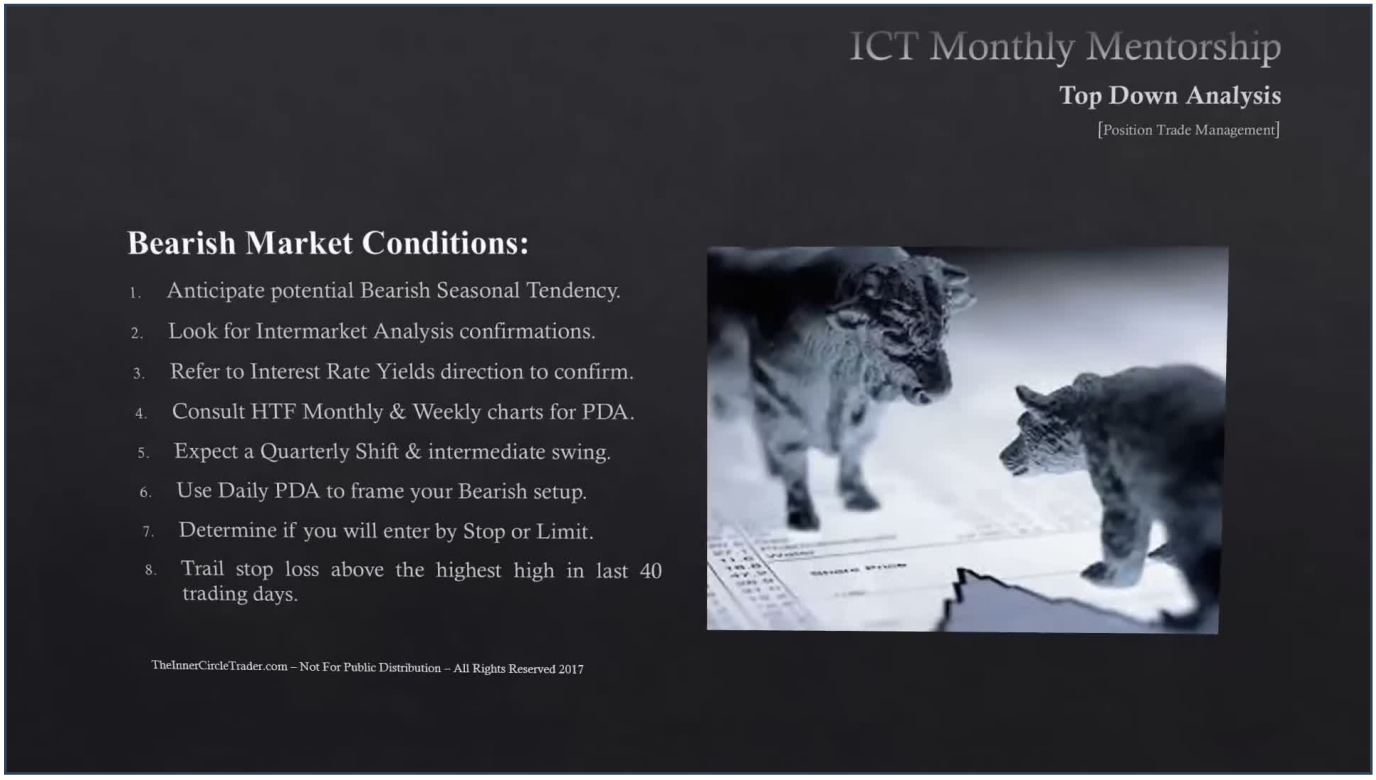


For bearish market conditions, the process mirrors bullish conditions but in reverse.

Initial Steps:

- Anticipate Bearish Seasonal Tendencies: Focus on ideal bearish seasonal tendencies and their expected times of the year, based on previous teachings.

- Inter-Market Analysis Confirmations: After identifying seasonal likelihood, seek confirmations from inter-market analysis.

Confirmations involve:

- Four Major Asset Classes: Currency markets, interest rates, commodities, and the stock market should align with the expected bearish outlook for the next three to four months.

- Interest Rate Yields: Evaluate if rising or decreasing interest rates confirm the bearish expectation for the upcoming quarterly shift.

- All these should be in agreement with your expectation for the next quarterly shift.

# HIGHER TIME FRAME PDA FOR BEARISH OBJECTIVES

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If inter-market analysis aligns, move to higher time frame monthly and weekly charts to identify Premium Discount Arrays (PDA) for bearish institutional objectives.

Objectives and Key Levels:

- We look for monthly and weekly objectives, determining how far we are looking to go down.

- This includes old lows, bullish order blocks, liquidity voids on the downside, fair value gaps below, mitigation blocks, and potential breakers.

- We map these out in advance, as they will either be speed bumps or rocket fuel for our next price leg in bearish expectations.

- Being mindful of these levels ensures we won't be surprised, allowing us to expect the quarterly shift and an intermediate-term price swing over two to four months.

With the bearish scenario outlined and monthly/weekly swing expected, the focus shifts to the daily chart to utilize daily Premium Discount Arrays (PDA) for framing bearish setups.

Elements for framing a sell setup:

- We look for bearish order blocks, bearish liquidity voids to fill in, old highs to sell above, rejection blocks above old highs and handles/bodies.

- We also look for bearish breakers to trade into and mitigation blocks to trade against and sell off of.

- All these ideas are sought on a daily time frame to get in sync with the move expected on the monthly and weekly charts, using daily PDA to frame our bearish setups.

After framing the bearish setup, the decision is made on the order entry method.

Order Entry Options:

- Selling on a Stop Order: Almost a guarantee you'll get that fill because you're selling on weakness. However, it may open up a little more risk from where you enter and where your stop loss needs to be.

- Selling on a Limit Order: There's a chance you may not get your fill, so take that into consideration.

- The choice is a matter of personal preference, similar to bullish market conditions.

# INITIAL TRAILING STOP LOSS FOR BEARISH TRADES

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Once a bearish position is entered, a trailing stop loss is used to protect the trade.

Trailing Stop Loss Rule:

- Use a trailing stop loss above the highest high in the last 40 trading days.

Purpose:

- Prevent Premature Stop-Outs: This prevents getting knocked out of the market before the move transpires. It avoids the frustration of seeing the market take off after you've been stopped out prematurely, especially after exercising significant patience for long-term setups.

- Allow for Market Gyration: On higher time frame trading, it's better to keep a wider stop and not rush to move it to break even, as break-even on long-term trading is often counterproductive.

- By doing so, you're giving the market room to breathe and move around.

# ADJUSTING TRAILING STOP LOSS FOR BEARISH TRADES BASED ON RANGE PROGRESSION

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As the bearish trend progresses towards its objective, the trailing stop loss management adapts to protect accumulated profits.

Adjustment Rules:

- Before 50% of Expected Range: Even if price moves 50% of the anticipated monthly/weekly range in your favor, the stop loss remains above the highest high in the last 40 trading days.

- After 75% of Expected Range: Once the price moves to about three-quarters of the range you anticipate seeing, adjust the stop loss to be above the highest high in the last 20 trading days.

Rationale:

- Lock in Profit: This adjustment helps lock in more profit as the ultimate objective is approached. Using a 40-day stop throughout a three-quarters move could expose you to deep retracements that may become full reversals.

- Mitigate Reversal Risk: By reducing the lookback to 20 trading days, you protect against potential optimal trade entries (79% retracements) that fail and reverse, saving yourself from a larger loss.

- This strategy uses ipta procedures for data ranges and measures range progression to aggressively lock in profits as the move matures, without stopping out too early.

# EXAMPLE: USDJPY BEARISH SETUP - DAILY CHART EXECUTION

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Let's review an example on the USDJPY weekly chart for a bearish setup.

Scenario:

- We identified a high and equal lows, with a bullish order block below the lows.

- Market structure was broken, followed by a rally into a last up candle, which served as a PDA on a weekly and daily basis (a bearish order block).

- Price traded right up into the body of this candle, hitting the open at 121.69, with the high only 3 pips higher at 121.72.

Stop Loss Placement:

- For a sell, we decide whether to sell on a limit above the close or sell on a stop down here.

- Once in, we use the highest high in the last 40 trading days as the stop loss.

- For instance, if the stop loss was 260 pips (cringing for some), it would be placed above the 40-day high, as this is long-term trading requiring a different mindset than intraday action.

# EXAMPLE: USDJPY BEARISH SETUP - RISK/REWARD AND TRAILING STOP APPLICATION

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Continuing with the USDJPY bearish example, the trade demonstrated significant risk/reward potential (e.g., 8R).

Trailing Stop Implementation:

- Every trading day, you continuously look back at the last 40 trading days to find the highest high and keep your stop loss above that high.

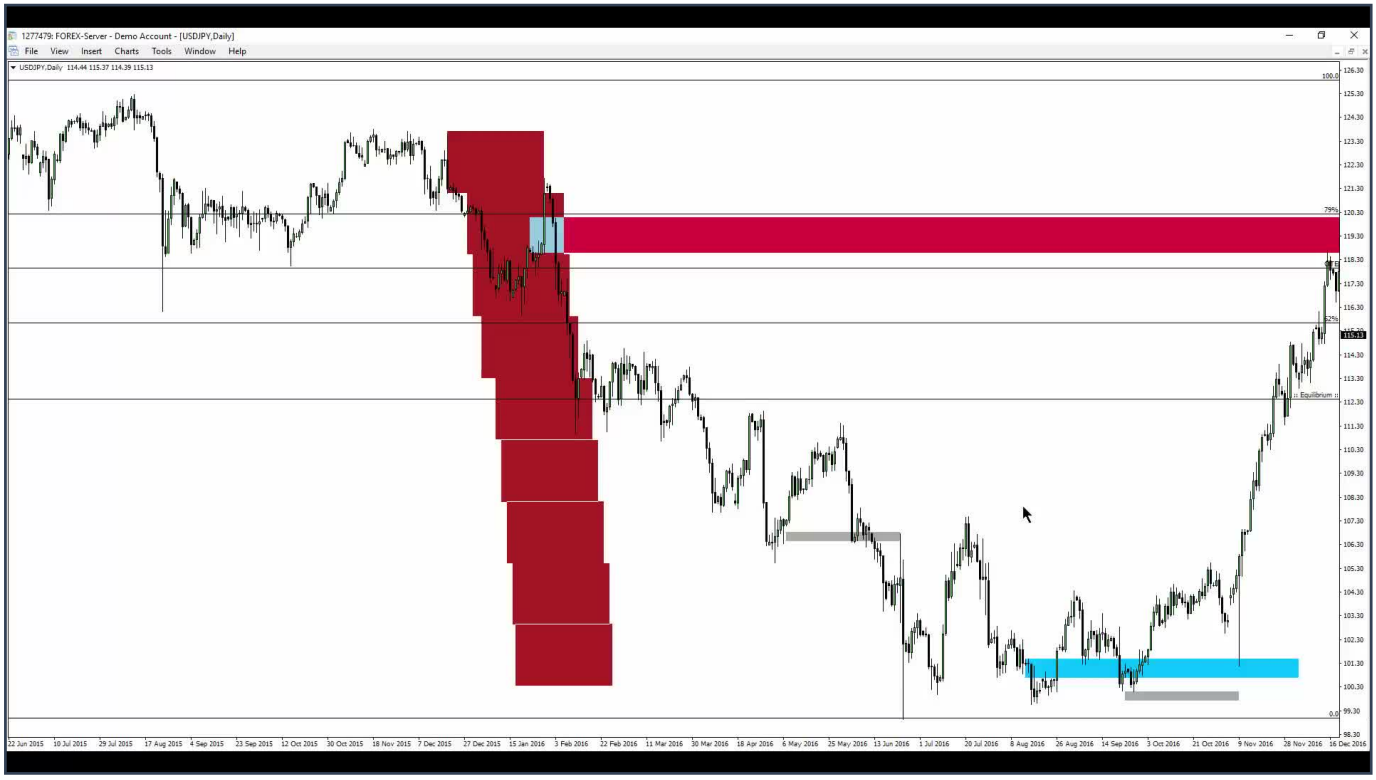
- For example, even with a deep retracement, the stop remained above the previous highs, preventing a premature stop-out.

- This allowed for capturing a massive move, like 8 times the initial 260 pip risk.

- The objective was ultimately hit, demonstrating the value of a wider stop that allows the market room to fluctuate.

# EXAMPLE: USDJPY BULLISH SETUP - WEEKLY ORDER BLOCK AND TRAILING STOP ADJUSTMENT






Now, let's look at a USDJPY bullish setup, aiming for a move from a weekly bullish order block up to a weekly bearish order block.

Entry and Initial Stop Loss:

- Entry was made at the weekly bullish order block.

- The initial protective sell stop was placed below the lowest low in the last 40 trading days.

- Even during significant volatility (e.g., a wild whipsaw during election day), the 40-day lookback kept the stop protected, preventing premature stop-outs.

Stop Loss Adjustment Based on Range:

- Using a Fibonacci tool to define the range, once price traded through equilibrium (halfway point) and moved above it, the trailing stop loss rule was adjusted.

- The stop loss was then trailed below the lowest low in the last 20 trading days.

- This ensures that as price approaches the weekly bearish order block objective, profits are increasingly locked in.

- The use of 40-day and then 20-day look-back periods aligns with ipta data ranges, optimizing stop

placement for higher time frame liquidity seeking behavior. It's less likely to seek liquidity below a 20-day low when it's seeking liquidity above 40-day and 20-day highs, and even 60-day highs.